

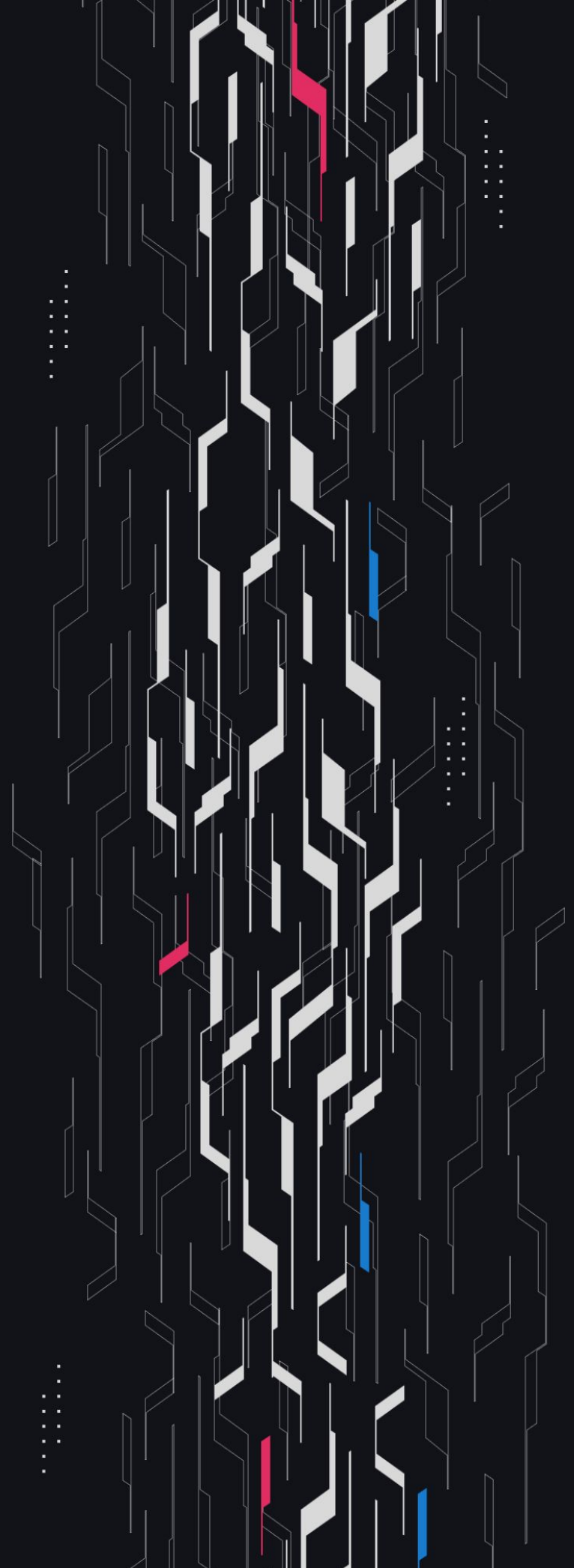
GA GUARDIAN

USDT0

XLayer Deployment

Security Assessment

September 27th, 2025



Summary

Audit Firm Guardian

Prepared By Curiousapple

Client Firm USTD0

Final Report Date September 27, 2025

Audit Summary

USTD0 engaged Guardian to review the security of their USTD0's XLayer Deployment. From the 3rd of September to the 4th of September, a team of 1 auditor reviewed the source code in scope. All findings have been recorded in the following report.

Confidence Ranking

Given the lack of critical issues detected and minimal code changes following the main review, Guardian assigns a Confidence Ranking of 5 to the protocol. Guardian advises the protocol to consider periodic review with future changes. For detailed understanding of the Guardian Confidence Ranking, please see the rubric on the following page.

✓ Verify the authenticity of this report on Guardian's GitHub: <https://github.com/guardianaudits>

Guardian Confidence Ranking

Confidence Ranking	Definition and Recommendation	Risk Profile
5: Very High Confidence	Codebase is mature, clean, and secure. No High or Critical vulnerabilities were found. Follows modern best practices with high test coverage and thoughtful design. Recommendation: Code is highly secure at time of audit. Low risk of latent critical issues.	0 High/Critical findings and few Low/Medium severity findings.
4: High Confidence	Code is clean, well-structured, and adheres to best practices. Only Low or Medium-severity issues were discovered. Design patterns are sound, and test coverage is reasonable. Small changes, such as modifying rounding logic, may introduce new vulnerabilities and should be carefully reviewed. Recommendation: Suitable for deployment after remediations; consider periodic review with changes.	0 High/Critical findings. Varied Low/Medium severity findings.
3: Moderate Confidence	Medium-severity and occasional High-severity issues found. Code is functional, but there are concerning areas (e.g., weak modularity, risky patterns). No critical design flaws, though some patterns could lead to issues in edge cases. Recommendation: Address issues thoroughly and consider a targeted follow-up audit depending on code changes.	1 High finding and ≥ 3 Medium. Varied Low severity findings.
2: Low Confidence	Code shows frequent emergence of Critical/High vulnerabilities ($\sim 2/\text{week}$). Audit revealed recurring anti-patterns, weak test coverage, or unclear logic. These characteristics suggest a high likelihood of latent issues. Recommendation: Post-audit development and a second audit cycle are strongly advised.	2-4 High/Critical findings per engagement week.
1: Very Low Confidence	Code has systemic issues. Multiple High/Critical findings ($\geq 5/\text{week}$), poor security posture, and design flaws that introduce compounding risks. Safety cannot be assured. Recommendation: Halt deployment and seek a comprehensive re-audit after substantial refactoring.	≥ 5 High/Critical findings and overall systemic flaws.

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Project Overview

Project Summary

Project Name	USDT0
Language	Solidity
Codebase	https://github.com/Everdawn-Labs/usdt0-oft-contracts
Commit(s)	Initial Commit(s): 7165f3207a14e56ab7896b8cb24bb95bb4ed160d
Addresses	USDT0 - Proxy: 0x779Ded0c9e1022225f8E0630b35a9b54bE713736 USDT0 - Implementation: 0x1ec7df9e74be05cb5a456aca2dc1ac2cec9ab6a3 USDT0 - Proxy Owner: 0xF555A12bfFAEf20cC201A74ae6513Cb4aaDB34B9 USDT0-OFT - OFT: 0x94BCCa6bdfd6A61817Ab0E960bFedE4984505554 USDT0-OFT - Implementation: 0x525DE2BD10Ab77B6EF347259c0136801575D0749 USDT0-OFT - Proxy Admin: 0xa882c21C9df00958A958cde96f2B2Ae8FB4315B1

Audit Summary

Delivery Date	September 27, 2025
Audit Methodology	Static Analysis, Manual Review, Test Suite, Contract Fuzzing

Vulnerability Summary

Vulnerability Level	Total	Pending	Declined	Acknowledged	Partially Resolved	Resolved
● Critical	0	0	0	0	0	0
● High	0	0	0	0	0	0
● Medium	0	0	0	0	0	0
● Low	0	0	0	0	0	0
● Info	1	0	0	1	0	0

Audit Scope & Methodology

Addresses:

USDT0 - Proxy: 0x779Ded0c9e1022225f8E0630b35a9b54bE713736

USDT0 - Implementation: 0x1ec7df9e74be05cb5a456aca2dc1ac2cec9ab6a3

USDT0 - Proxy Owner: 0xF555A12bfFAEf20cC201A74ae6513Cb4aaDB34B9

USDT0-OFT - OFT: 0x94BCCa6bdfd6A61817Ab0E960bFedE4984505554

USDT0-OFT - Implementation: 0x525DE2BD10Ab77B6EF347259c0136801575D0749

USDT0-OFT - Proxy Admin: 0xa882c21C9df00958A958cde96f2B2Ae8FB4315B1

Transactions:

https://docs.google.com/spreadsheets/d/1yS43NI9ncC6XhnFpu2rqODYx_1cpeDvepVzngWWVf5k/edit?gid=0#gid=0

Audit Scope & Methodology

Vulnerability Classifications

Severity	Impact: <i>High</i>	Impact: <i>Medium</i>	Impact: <i>Low</i>
Likelihood: <i>High</i>	● Critical	● High	● Medium
Likelihood: <i>Medium</i>	● High	● Medium	● Low
Likelihood: <i>Low</i>	● Medium	● Low	● Low

Impact

- High**

Significant loss of assets in the protocol, significant harm to a group of users, or a core functionality of the protocol is disrupted.
- Medium**

A small amount of funds can be lost or ancillary functionality of the protocol is affected. The user or protocol may experience reduced or delayed receipt of intended funds.
- Low**

Can lead to any unexpected behavior with some of the protocol's functionalities that is notable but does not meet the criteria for a higher severity.

Likelihood

- High**

The attack is possible with reasonable assumptions that mimic on-chain conditions, and the cost of the attack is relatively low compared to the amount gained or the disruption to the protocol.
- Medium**

An attack vector that is only possible in uncommon cases or requires a large amount of capital to exercise relative to the amount gained or the disruption to the protocol.
- Low**

Unlikely to ever occur in production.

Audit Scope & Methodology

Methodology

Guardian is the ultimate standard for Smart Contract security. An engagement with Guardian entails the following:

- Two competing teams of Guardian security researchers performing an independent review.
- A dedicated fuzzing engineer to construct a comprehensive stateful fuzzing suite for the project.
- An engagement lead security researcher coordinating the 2 teams, performing their own analysis, relaying findings to the client, and orchestrating the testing/verification efforts.

The auditing process pays special attention to the following considerations:

- Testing the smart contracts against both common and uncommon attack vectors.
- Assessing the codebase to ensure compliance with current best practices and industry standards.
- Ensuring contract logic meets the specifications and intentions of the client.
- Cross-referencing contract structure and implementation against similar smart contracts produced by industry leaders.
- Thorough line-by-line manual review of the entire codebase by industry experts.
Comprehensive written tests as a part of a code coverage testing suite.
- Contract fuzzing for increased attack resilience.

Findings & Resolutions

ID	Title	Category	Severity	Status
I-01	Proxy & Admin Bytecode Inconsistency	Best Practices	● Info	Acknowledged

I-01 | Proxy & Admin Bytecode Inconsistency

Category	Severity	Location	Status
Best Practices	● Info	Global	Acknowledged

Description

The deployed proxy/admin bytecode does not align with our local builds or with deployments on other chains.

- Current deployment: Solidity 0.8.9 with 200 optimization runs.
- Other deployments: Solidity 0.8.10 with 100,000 runs or 0.8.4 with 100,000 runs.
- Additionally, these contracts appear to rely on different OpenZeppelin library versions.

Although the Hardhat Upgrades plugin uses precompiled proxies (which means proxy bytecode itself is not influenced by the compiler version of implementation contracts), the inconsistency in compiler versions, optimization runs, and dependency versions introduces potential risks:

- Divergent bytecode may hinder verification and reproducibility.
- Inconsistent compiler settings can introduce subtle behavioral differences.

Recommendation

- Pin the compiler version and optimization settings across all deployments to ensure bytecode uniformity.
- Align dependency versions, particularly OpenZeppelin libraries, to avoid unexpected behavioral differences.
- Lock the upgrades plugin version to maintain consistency of proxy/admin contracts across environments.

Resolution

USDT0 Team: Acknowledged.

Disclaimer

This report is not, nor should be considered, an “endorsement” or “disapproval” of any particular project or team. This report is not, nor should be considered, an indication of the economics or value of any “product” or “asset” created by any team or project that contracts Guardian to perform a security assessment. This report does not provide any warranty or guarantee regarding the absolute bug-free nature of the technology analyzed, nor do they provide any indication of the technologies proprietors, business, business model or legal compliance.

This report should not be used in any way to make decisions around investment or involvement with any particular project. This report in no way provides investment advice, nor should be leveraged as investment advice of any sort. This report represents an extensive assessing process intending to help our customers increase the quality of their code while reducing the high level of risk presented by cryptographic tokens and blockchain technology.

Blockchain technology and cryptographic assets present a high level of ongoing risk. Guardian’s position is that each company and individual are responsible for their own due diligence and continuous security. Guardian’s goal is to help reduce the attack vectors and the high level of variance associated with utilizing new and consistently changing technologies, and in no way claims any guarantee of security or functionality of the technology we agree to analyze.

The assessment services provided by Guardian is subject to dependencies and under continuing development. You agree that your access and/or use, including but not limited to any services, reports, and materials, will be at your sole risk on an as-is, where-is, and as-available basis. Cryptographic tokens are emergent technologies and carry with them high levels of technical risk and uncertainty. The assessment reports could include false positives, false negatives, and other unpredictable results. The services may access, and depend upon, multiple layers of third-parties.

Notice that smart contracts deployed on the blockchain are not resistant from internal/external exploit. Notice that active smart contract owner privileges constitute an elevated impact to any smart contract’s safety and security. Therefore, Guardian does not guarantee the explicit security of the audited smart contract, regardless of the verdict.

About Guardian

Founded in 2022 by DeFi experts, Guardian is a leading audit firm in the DeFi smart contract space. With every audit report, Guardian upholds best-in-class security while achieving our mission to relentlessly secure DeFi.

To learn more, visit <https://guardianaudits.com>

To view our audit portfolio, visit <https://github.com/guardianaudits>

To book an audit, message <https://t.me/guardianaudits>